

“Low-Cost LMS Handling Available”



Miss Mehwish: 03184148783

MGT411(Mega File)

Mid Term (Live Quiz)

PAID VU LMS HANDLING by Mam Mehwish

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1. Keeping other things constant, price of Zero Coupon bond increases as the interest rate

- ☐ O Constant
- ☐ O Increases
- ☒ O Decreases
- ☐ O None of given options

2. The return on the bond is equal to which of the following?

- ☐ O Current yield - rate of capital gains
- ☒ O Current yield + rate of capital gains
- ☐ O Coupon rate - rate of capital gains
- ☐ O Coupon rate + rate of capital gains

3. An investor is deprived from promised payment due to organization's bankruptcy is an example of:

- ☐ O All of the given options
- ☐ O Inflation risk
- ☐ O Interest rate risk
- ☒ O Default risk

4. An increase in the expected inflation shifts the bond demand to the

- ☐ O No change
- ☒ O Left
- ☐ O All of the given options



5. Keeping all other things constant, if inflation is expected to increase in future bond supply curve shifts to:
- ☐ O Left
 - ☐ O Downward
 - ☒ O Right
6. B to D grade bonds fall in the category of:
- ☐ O Long term speculative grade bonds
 - ☐ O Short term investment grade bonds
 - ☐ O Long term investment grade bonds
 - ☒ O Short term speculative grade bonds
7. Which of the following best describes the relationship between Bond prices and yields?
- ☒ O Move together inversely
 - ☐ O Are independent of each other
 - ☐ O Bond yields do not change since the coupon is fixed
 - ☐ O Move together directly
8. Standard deviations for the projects A, B, C and D have been computed as 15%, 20%, 22% and 25% respectively. Which of the following would be the best project keeping risk factor into consideration?
- ☐ O Project B - 20%
 - ☐ O Project D - 25%
 - ☒ O Project A - 15%
 - ☐ O Project C - 22%
9. The relationship between the price and the interest rate for a zero coupon bond is
- ☐ O Non-existent
 - ☒ O Volatile
 - ☐ O Stable
10. The risk premium for an investment:
- ☐ O Is negative for risk averse investors
 - ☒ O Increases with risk



- O Is a fixed amount added to the risk free return
- O Is negative for U.S. Treasury Securities

1. **Question:** The working and activities of the banking sector are regulated by:

- Securities and Exchange Commission of Pakistan
- Board of Investment
- **State Bank of Pakistan** ✓
- Securities firms

2. **Question:** Which of the following financial institutions does not fall in the category of securities firms?

- Brokers
- **Commercial bank** ✓
- Mutual fund companies
- Investment bank

3. **Question:** Coupon bonds make the annual payments which are called as:

- Annual payments
- Fixed payments
- **Coupon payments** ✓
- Maturity payment

4. **Question:** Borrowers want to borrow -----~ whereas lenders favor -----:

- Large-size loans, Small-size loans
- Short-term loans, Long-term loans
- **Long-term loans, short-term loans** ✓
- Small-size loans, large-size loans

5. **Question:** If a bond sells at a premium, where the price exceeds face value, then we would expect to see:

- Market interest rate the same as the coupon rate
- **Market interest rates below the coupon rate** ✓



- ☐ Market interest rates above the coupon rate
 - ☐ All of the given options
6. **Question:** The Pakistan Stock Exchange is considered a _____ because orders are routed to the exchange floor and then matched with an offsetting order.
- ☐ All of given options
 - ☒ **Centralized Market** ✓
 - ☐ Derivative Market
7. **Question:** If the interest rate will compound quarterly, which of the following expressions is true?
- ☐ $F = \text{Face value} / (1+i)$
 - ☐ $F = \text{Face value} / (1+i/m)^{Amn}$
 - ☒ **$F = \text{Face value} / (1+i/m)$** ✓
 - ☐ $F = \text{Face value} / (1+i)^{An}$
8. **Question:** Mutual insurance companies are technically owned by the:
- ☐ Stake holders
 - ☐ Stock holders
 - ☐ Bond holders
 - ☒ **Policy holders** ✓
9. **Question:** A risky project normally requires ----- rate of return.
- ☐ Constant
 - ☐ Low
 - ☒ **High** ✓
 - ☐ Average
10. **Question:** The interest rate that is involved in calculation is referred to as the discount rate.
- Future value
 - **Present value** ✓
 - Discount value
 - Intrinsic value



1. If the annual interest rate is 6%, the price of a 1-year Treasury bill with \$100 face value would be:
 - \$94.33 ☒
 - \$95.25
 - \$94.00
2. All the financial instruments primarily transfer the risk except:
 - Stock ☒
 - Options
 - Future
 - Future contracts
3. If a bond sells at premium, where price exceeds face value, then we would expect to see:
 - Market interest rate the same as the coupon rate
 - Market interest rates below the coupon rate ☒
 - Market interest rates above the coupon rate
 - All of the given options
4. Which one of the following financing methods does not rely upon the services of underwriters/brokers?
 - Direct financing ☒
 - None of the given options
 - Indirect financing
 - Commercial bank loan
5. Compensation/return on financial instruments has a direct relationship with:
 - Interest rate
 - Interbank rate
 - Coupon rate
 - Risk level ☒
6. Which of the following is NOT the characteristic of a well-run financial market?



- Low transaction cost
 - Investor protection
 - Accurate information
 - Excessive Government intervention ☒
7. **IPO (Initial Public Offering) is an activity performed in:**
- O.T.C Market
 - Primary Market ☒
 - Secondary Market
 - Money Market
8. **All of the given tasks are normally performed by the central bank; Except:**
- Conduct the Fiscal policy ☒
 - Stabilize the economy
 - Monitor the financial institutions
 - Conduct the Monetary policy
9. **Keeping other parameters constant, what would be the effect on future value if the interest rate increases?**
- Future value will increase ☒
 - Future value will decrease
 - None of the given options
 - Future value will be constant

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